Public Policy 2025-2026 Re-Exam

March 18, 2026, 09:00-12:00

The maximum score of the exam is 200 points. To pass Public Policy, you must achieve a minimum score of 100 points. Your re-exam grade will be your final course grade (overriding all previous results from the quizzes, the mid-term exam, and the final exam). The re-exam consists of three parts:

I. One case-based question (with four sub-questions, of which you must answer only three). Each sub-question must be answered as a short essay of approximately 250-300 words. Do not use bullet points or other non-essay formats. The maximum score is 90 points (30 points per each sub-question). Be concise, clear, and demonstrate solid analytical thinking using the information offered in the case! Appropriate examples and your ability to make valid and meaningful connections across course topics will yield originality points.

II. Six short questions (of which you must answer only five) to be answered in full sentences. Each response should comprise approximately 150 words. The maximum score is 80 points (16 points per question). Be as concise and clear as possible!

III. Ten multiple-choice questions. The maximum score is 30 points (3 points per question).

Re-Exam Rules:

- The duration of the re-exam is 3 hours. You may submit your responses whenever you are done.
- The re-exam is “open-book,” which means that you may use all course-related material, including the material on e-learning. Respondus will grant you access to e-learning and to the readings.
- No electronic devices other than the computer on which you are writing the exam are allowed.
- The re-exam is *not* teamwork. Any communication with third parties, whether electronically or face-to-face, is strictly prohibited.
- In Parts I and II of the re-exam, if you cite passages e.g. from the readings or the course slides, you must put the cited text into quotation marks (“xyz”) and provide the name(s) of the author(s). There are no further format requirements. For instance, you don’t need to write “(Fleurbaey & Blanchet, 2006, p. 20)” after citing Fleurbaey and Blanchet, and you don’t need to put a reference list at the end of your responses. Unmarked copy-pastes from the readings or course slides will be treated as plagiarism.
- In Parts I and II of the re-exam, any answer in excess of what is required (the fourth question answered in Part I, the sixth question answered in Part II) is a waste of time and will not be taken into consideration for grading.

Wishing you Good Luck!!

Part I: Case-based questions (max. 90 points, 250-300 words per sub-question)

[With material from: “The problems piling up at fast-fashion giant Shein.” *The Financial Times*, February 20, 2026]

In November, several French ministers, a bevy of TV cameras and an army of customs officers set up camp at Charles de Gaulle airport outside Paris to conduct a very public inspection of the contents of thousands of packages sent to France by fast-fashion giant Shein.

“In order to put a stop to a system that is clearly non-compliant with our standards and our tax laws, we need to have proof,” budget minister Amélie de Montchalin said at the time. Some 300,000 packages containing half a million items were eventually searched, with a quarter found to violate French or EU standards.

The theatrical display took place at the height of the French government’s stand-off with the Chinese-founded platform. Shein had opened its first permanent physical shop in the country at the beloved central Paris department store BHV the day before, attracting both queues of shoppers and protesters bearing signs that read “Shame on Shein” and “Protect children, not Shein”.

Reports had emerged that third-party sellers on the platform’s online marketplace were selling “paedopornographic” sex dolls and weapons such as brass knuckles, leading France to temporarily suspend its marketplace platform and launch investigations into Shein and some of its peers.

This week, spurred by events in France, the European Commission opened its own probe into the sale of “illegal products”, including the child sex dolls, the “addictive” nature of its app and whether it was being transparent enough about its use of recommendation algorithms. If found guilty of non-compliance, the Commission could hit Shein with a fine of as much as 6 per cent of its global revenue, or more than $2bn, based on 2024 figures.

The investigation is a major challenge in a crucial growth market for the fast-fashion company that has rocked the world of ecommerce since the pandemic, notching nearly $40bn in annual sales and spawning a slew of copycats.

Shein told the FT in a statement: “We take our obligations under the Digital Services Act seriously and have always cooperated fully with the European Commission”.

It added that it had accelerated the rollout of new safeguards around age-restricted products. “Protecting minors and reducing the risk of harmful content and behaviours are central to how we develop and operate our platform.”

But the EU probe is just the latest of Singapore-headquartered Shein’s problems, which are stacking up in many of its major markets as it seeks to push through an initial public offering in Hong Kong or London. That process too has been impeded by regulatory scrutiny.

In Europe, the US and the UK, authorities are closing or have closed loopholes that allowed Shein’s low-value packages to avoid duties and onerous customs checks.

There have also been questions about the company's supply chains, employment practices and the potential sourcing of cotton from China's Xinjiang province, where rights groups have alleged producers use forced labour.

Consumers globally, meanwhile, are becoming more conscious of issues such as sustainability and the environmental cost of so-called fast fashion.

Analysts say the EU investigation is a sign of growing difficulties for not only Shein but also for a broad cohort of both fast-fashion companies and Chinese ecommerce platforms operating in key western markets. For Shein, they add, it may be time for a change of strategy.

"The investigation is about more than just some narrow products sold by Shein, it also concerns the company's business model and how it engages with consumers," said Sheng Lu, a professor at the University of Delaware.

Its business model, which in effect connects western customers directly to Chinese factories, cuts out an entire industry of middle men and keeps both costs and lead times low. It uses algorithms to help identify popular designs for women's clothing and cosmetics, which it then places as small orders at its network of some 7,000 contract manufacturers. The small-batch system means it can maintain a vast range of products that more traditional fast-fashion retailers have struggled to keep up with.

While small orders can force losses on suppliers, manufacturers are willing to fulfil them because Shein pays them more promptly than traditional retailers — and because a design that takes off could bring huge sales. Shein also argues that its test-and-learn model helps to reduce waste.

Its stunning success — the company's revenues were $38bn in 2024 — has triggered a wave of imitators, most notably Temu, launched in 2022 by Shanghai-based ecommerce group PDD.

According to a survey by the International Post Corporation, an association of 26 national postal services, Temu accounted for nearly a quarter of the global market for cross-border ecommerce last year, on a par with US giant Amazon. Shein accounted for 9 per cent.

But that ascent has triggered stiff resistance from western fashion retailers and officials, who argue that Shein unfairly exploits tax exemptions for small packages to undercut local competition.

In the EU, policymakers have railed against a "flood" of cheap online packages coming from China, with both Shein and Temu in their crosshairs. The vast majority of the 5.8bn small packages flown into the EU last year were from China, mostly low-value goods such as clothes, electronics and toys.

To tackle that, the bloc [= the EU] has adopted two strategies. One is to curb the sale of online illegal products via the Digital Services Act, which forces large online platforms to limit the spread of illegal content and products on their platforms and to increase transparency around how they work. Policymakers hope the act will ensure online marketplaces abide by the same safety rules as bricks-and-mortar stores.

“Illegal products often flood directly from China [via Shein] into the internal market and right to their doorsteps,” said Anna Cavazzini, a Green member of the European parliament and chair of its internal market committee, which last month [January 2026] grilled Shein’s EU bosses. “This has no place in the internal market, with its highest consumer protection and safety standards.”

The bloc is keen to show to US President Donald Trump and his administration that the EU’s Digital Services Act does not only target US groups, such as social media platforms X or Instagram, but also companies based in other jurisdictions, such as China.

The EU has also sought to crack down directly on billions of cheap Chinese products sent via ecommerce by introducing a fee of €3 per product line for all packages with a value under €150. Individually, some member states have levied a flat handling fee on small packages ordered from outside the EU via online platforms.

In the US, where Shein and Temu have historically accounted for millions of packages a day, Trump cancelled de minimis exemptions from customs duties for Chinese goods early in his second term. Trump has called the exemptions, which were intended to reduce costs for small businesses and exempted packages whose contents were worth less than $800 from import tariffs, “a big scam going on against our country”.

“All of this actually is just another aspect of the broader concerns about a second ‘China shock’,” says Jayant Menon, senior fellow at the Iseas-Yusof Ishak Institute in Singapore, adding that local retailers and producers “simply cannot compete” with prices offered by Chinese ecommerce platforms.

While those concerns are particularly acute in Europe, regulators worldwide are looking at ways to protect local businesses from cheap Chinese goods, especially as higher tariffs in the US have pushed platforms like Shein to seek new markets, Menon adds.

Henry Gao, a law professor at Singapore Management University, says Shein will either have to pivot to selling domestically, which it has never done, or comply with regulatory standards in the overseas markets it has targeted.

“That will be difficult because much of their appeal comes from ultra-low costs,” he adds. “I am not confident they can adjust.”

(***Select and answer **three** out of the following questions. Inform your answers using relevant material from the lectures and from the required readings.***)

1. Using Kingdon’s Multiple Streams Framework, analyze how regulatory action against Shein reached the EU policy agenda. Identify the three streams, explain what caused them to converge, and identify who acted as policy entrepreneur(s) in opening the policy window. Also explain the framing strategy employed by those seeking stricter regulation of Shein (“expanders”). (30p)

	Score
Effort, engagement with case, originality (10p)	
3 streams (5p)	
Causes of coupling (5p)	
Policy entrepreneurs (5p)	
Framing strategy (5p)	

2. Drawing on implementation theory, analyze two key challenges facing the EU in enforcing regulatory action against Shein. Propose concrete measures to reduce these barriers. (30p)

	Score
Effort, engagement with case, originality (10p)	
Argues within theoretical & conceptual confines of impl. stage / (5p)	
Impl. design components (5p)	
Challenges facing the EU (5p)	
Ways to overcome challenges (5p)	

3. The EU's regulatory measures against Shein are likely to produce both efficiency costs and distributional consequences. Analyze this equity-efficiency trade-off. Who bears the costs and who captures the benefits of stricter regulation? Based on your analysis, argue whether the regulatory measures can be justified on equity and/or efficiency grounds. (30p)

	Score
Effort, engagement with case, originality (10p)	
Discussion trade-off (10p)	
Efficiency & fairness impact (5p)	
Justifiability of regulation (5p)	

4. Discuss the tension between acting under uncertainty to protect consumers and the risk of disproportionate or premature regulatory intervention. To what extent do the regulatory measures proposed by the EU strike an appropriate balance between precaution and evidence-based policymaking? (30p)

	Score
Effort, engagement with case, originality (10p)	
Discusses tension between precaution and evidence (5p)	
Def. precautionary approach (5p)	
Def. evidence-based policymaking (5p)	
Appraisal of EU's approach (5p)	

Part II: Short questions (max. 80 points, ~150 words per question)

(***Select and answer **five** out of the following questions. Inform your answers using relevant material from the lectures and from the required readings ***)

1. Why do some policy arrangements remain stable for decades while others undergo rapid transformation? Explain this variation using the Advocacy Coalition Framework. Identify two distinct mechanisms that can destabilize an existing policy equilibrium, illustrate each with an example, and specify the conditions under which an existing policy arrangement is most likely to persist unchanged. (16p)

2. A nation's heavy industry is failing to account for its environmental social costs. You are asked to choose between uniform emission caps, Pigouvian taxes, or a market for pollution rights. Evaluate these three policy instruments based on how they handle abatement costs. Which approach provides the best long-term incentive for technological innovation, and which offers the most certainty for meeting specific environmental targets? (16p)

3. A government must decide how to allocate a fixed healthcare budget between two regions. **Consultant A** argues: "the current allocation is inefficient! We can redesign it so that both regions are better off." Her colleague, **Consultant B**, objects: "even if your new allocation helps both regions, it isn't necessarily the right one! The government should instead adopt the allocation that maximizes total health outcomes across the country, even if one region ends up worse off than under your proposal."

   Is it possible that both advisors are correct simultaneously? Discuss. (16p)

4. A government agency is conducting a cost-benefit analysis to evaluate a large public investment in national AI infrastructure and data centers. The upfront costs (land acquisition, construction, energy grid upgrades, etc.) are immediate and easily quantifiable, but the projected benefits (productivity gains, innovation spillovers, enhanced public service delivery, etc.) are uncertain and will materialize, if at all, over the next several decades. A junior analyst on your team asks: "What discount rate should we apply to those future benefits?" Explain why this isn't just a merely technical question, and what is at stake in the choice of discount rate when trying to calculate the true welfare impact of such an investment. (16p)

5. A pilot study randomly assigned performance bonuses to teachers within a group of volunteering public schools, resulting in a significant boost in student grades. Explain why these results might fail to replicate if the policy is rolled out nationwide. Do you see further potential issues with this approach? (16p)

6. A fishery is shared between two coastal communities. Marine biologists have established that the stock can sustain a certain level of total annual catch without long-term depletion, and that this limit would ideally be shared between the two communities. In practice, however, each community has reason to harvest as much as it can, and the stock is becoming depleted. Name and explain the economic problem this situation exemplifies. Under what conditions might the two

communities manage to overcome this problem without requiring government intervention? (16p)

Part III: Multiple-choice questions (max. 30 points)

1. A government commission is tasked with explaining why a country's environmental policy has consistently failed to meet its stated CO_2 emissions targets over three successive administrations, despite changes in the party in power. Two analysts offer competing explanations:

   Analyst A argues that failure stems from the outsized lobbying power of the fossil fuel industry, which has successfully pressured each successive government to weaken enforcement.

   Analyst B argues that failure is the result of fragmented regulatory competencies distributed across multiple ministries with overlapping mandates, creating coordination failures that persist regardless of which actors hold office.

   Which of the following statements best evaluates these two explanations? (3p)

   a. Both analysts offer institutional explanations, since both identify structural features of the political system as the root causes of policy failure.
   b. Analyst A offers an actor-based explanation, attributing outcomes to the strategic behavior and resources of a specific interest group, while Analyst B offers an institutional explanation, locating the cause in enduring "rules of the game" that constrain actors equally.
   c. Analyst B offers an actor-based explanation, since ministries are identifiable actors whose coordination failures reflect deliberate choices by the individuals who lead them.
   d. The distinction between actor-based and institutional frameworks is largely semantic in this case, as both analysts ultimately trace policy failure to the behavior of self-interested agents operating within political systems.

2. A political scientist argues: "Majority rule is the most natural aggregation procedure, and yet it doesn't guarantee consistent social rankings." Which of the following most accurately identifies the theoretical basis for this claim? (3p)

   a. Majority rule produces preference cycles, but only when voters hold imperfectly informed preferences.
   b. Arrow's theorem shows that majority rule cannot satisfy non-dictatorship, since every stable social ordering ultimately reflects the preferences of the median voter.
   c. Majority rule satisfies unanimity and independence of irrelevant alternatives but cannot guarantee transitive social orderings across all possible individual preference profiles.
   d. Arrow's theorem proves that any procedure producing transitive outcomes necessarily violates independence of irrelevant alternatives, so majority rule's inconsistency is an unavoidable feature of democratic systems.

3. A factory upstream pollutes a river used by a downstream fishing cooperative. A supreme court decision grants the cooperative property rights over river water.

Transaction costs are negligible. According to Coase, what outcome should we expect? (3p)

a. The factory will be forced to cease production, since the cooperative now holds a veto right over any activity that degrades the river, regardless of relative economic values.
b. The parties will negotiate a compensatory payment and reach the socially efficient level of pollution, demonstrating that the allocation of property rights affects distribution but not efficiency.
c. The outcome depends on whether a Pigouvian tax is set at the correct socially efficient level, suggesting that government intervention remains necessary even with well-defined property rights.
d. The cooperative and factory will fail to reach agreement due to collective action problems, illustrating why policymakers rather than markets must resolve externality disputes.

4. Which policy would be most inconsistent with the liberal welfare regime in Esping-Andersen's typology? (3p)

a. A flat-rate child benefit paid universally to all households with dependent children, irrespective of income or employment status.
b. Time-limited unemployment insurance with mandatory participation in activation programs as a condition for benefit receipt.
c. A publicly subsidized, but privately administered pension system in which contribution rates and payout levels are linked to individual work trajectories.
d. A social safety net funded through general taxation and targeted exclusively at households falling below a legally defined poverty threshold.

5. You are in charge of designing a new constitution for your country. You want to build a political system that maximizes power-sharing, limits executive dominance, and produces broadly consensual policy outcomes. Which institutional feature would most directly undermine these goals? (3p)

a. A proportional electoral system with no legal threshold for parliamentary entry.
b. Constitutional clauses that are protected by requiring a supermajority for amendment.
c. A single-member district plurality system that amplifies the parliamentary seat share of the strongest party.
d. Constitutionally guaranteed direct-democratic participation rights such as referenda and popular initiatives.

6. During a parliamentary vote on a budget amendment, a group of legislators who strongly prefer Option A over Options B and C cast their votes strategically for Option C in the first round, knowing that this will eliminate Option B from further consideration and set up a final contest in which Option A wins. Which of the following most accurately describes this behavior? (3p)

a. Logrolling, because the legislators are exchanging votes across multiple issues to secure their preferred outcome on the budget.
b. Heresthetics, because the legislators are manipulating the voting agenda to alter which alternative prevails without changing anyone's underlying preferences.

c. Heresthetics, because the legislators are persuading colleagues to reconsider their positions through the strategic framing of the budget options.
d. Coalition management, because the behavior reflects an intra-party negotiation to preserve legislative unity on a fiscally sensitive vote.

7. John Rawls argues that a just society cannot be one that is merely *efficient*. What reasoning, according to Rawls, would lead rational agents behind the veil of ignorance to demand a social arrangement of rights, opportunities, and resources that is also *fair*? (3p)

    a. Because rational agents behind the veil of ignorance would apply the principle of maximizing expected utility, which under conditions of radical uncertainty yields the same social outcome as classical utilitarianism.
    b. Because the veil of ignorance reveals that all social inequalities are morally arbitrary, and therefore just institutions must eliminate all differences in outcome between individuals.
    c. Because rational agents behind the veil of ignorance would prioritize equal political liberties above all economic considerations, rendering distributional questions irrelevant to the choice of basic social institutions.
    d. Because agents who do not know their place in society would reject any arrangement that could leave them in an unacceptable social position, and would instead choose institutions that benefit the worst-off, thus making the distribution of benefits, not just their aggregate size, a matter of justice.

8. A government announces a major new public infrastructure program.

    Project A involves upgrading the national electricity grid, reducing transmission losses and benefiting all consumers nationwide.

    Project B involves constructing a sports stadium in the home constituency of the minister who championed it, at a cost-benefit ratio far below the threshold normally required for public investments. Which statement about these projects is correct? (3p)

    a. Project A is an example of pork-barrel politics because it involves large-scale public spending that benefits a concentrated stakeholder group: electricity producers.
    b. Both projects qualify as pork-barrel politics since both involve discretionary government spending in response to political rather than purely technocratic criteria.
    c. Neither project qualifies as pork-barrel politics because both were announced following a formal decision by a legitimate government.
    d. Project B exemplifies pork-barrel politics because the allocation of public funds is driven by the electoral relationship between a minister and a specific constituency, rather than by any assessment of its impact on broader social welfare.

9. After diagnosing a comparatively high rate of workplace accidents, a government task force reviews how similar countries have reduced occupational injuries. It identifies three regulatory models – a mandatory inspection regime from Sweden, a risk-based licensing scheme from Australia, and a joint public-private co-regulatory framework from the Netherlands – and combines elements of each

into a new domestic policy package. Which most accurately describes what the task force is doing? (3p)

a. Policy diffusion, which refers to the structured transfer of institutional templates from international organizations to member states.
b. Policy diffusion, which refers to any updating of beliefs by policy actors, but does not require the deliberate cross-national borrowing as evident in this case.
c. Policy transfer, which denotes the deliberate process by which actors draw on policy knowledge in other settings to develop policies in their own, and encompasses both borrowing and creative adaptation.
d. Regulatory convergence, which describes the passive harmonization of rules across jurisdictions driven by competitive pressures rather than intentional policy choice.

10. An inquiry into a series of fatal building collapses finds the following: construction regulations were technically adequate; inspectors filed accurate reports; reports reached senior officials; but action was systematically delayed because the regulator had adopted an informal "partnership" norm with industry that treated enforcement as a last resort. Officials feared damaging relationships built over years of cooperative engagement. Which analytical framework best accounts for this failure? (3p)

a. A regulatory disaster rooted in organizational culture: accurate information was available but institutionalized submission to industry norms prevented the regulator from converting that information into protective action.
b. Corruption: construction stakeholders have corrupted individual officials through bribery, causing deliberate non-enforcement for personal gain.
c. Market failure: the construction industry's inability to self-regulate demonstrates that competitive markets underproduce adequate safety standards.
d. Creaming: street-level inspectors systematically concealed adverse findings from their superiors to avoid the administrative burden of initiating enforcement action.